

Department for Communities and Local Government

Planning and affordable housing for Build to Rent

Summary of consultation responses

August 2017
Department for Communities and Local Government



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Introduction

1. The consultation on *Planning & Affordable Housing for Build to Rent* took place between 7th February and 2nd May this year. The consultation was held in response to the emergence of a new sector in the housing market – large scale developments purpose built for private rent, commonly known as "build to rent".

2. Industry estimates indicate there could be around £50-70b[1] of new institutional investment available to enter this sector, potentially generating up to 15,000 new homes per annum[2].

3. The recent Housing White Paper set out the Government's support for build to rent as a means to improve housing supply, but importantly also as a way to improve choice, quality, security and diversity in the private rented sector.

4. This consultation analysis report summarises the views expressed by consultees. Overall there were 221 responses to the consultation, from a wide range of different sectors and parts of the country. Many of the survey replies were supported by additional comments. Around 84 provided separate written submissions via email, and these too have been factored into the consultation analysis.

5. This report is structured around all the questions asked in the consultation document, but re-grouped around three themes for ease of understanding. The first of these considers the principle and definition of build to rent, and whether national planning policy should be changed to support it. The second section considers the principle and definition of affordable private rent, and whether and how national planning policy and guidance should be altered. Finally, the last section considers issues around the implementation of the policy area, and different criteria that may apply.

6. Each question is considered quantitatively, broken down by sector. The qualitative analysis does not seek to itemise every view expressed, but typically identifies trends, details or commonly held views that would not be reflected in a purely statistical analysis.

7. Despite recent increases in the numbers of build to rent homes being constructed, all parties to the process, from developers and investors through to local authorities and campaign groups, considered there is a need to consolidate planning policy on the area, so as to resolve ongoing uncertainty about how to consider new proposals.

Responses by sector

No.	Sector	Response number	Proportion of total responses
1.	A person living in private rented accommodation	9	4%
2.	A person living in affordable housing	3	1%
3.	A private landlord	10	5%
4.	Other private individual	24	11%

[1] http://www.knightfrank.co.uk/residential/residential-development/residential-capital-markets/build-to-rent
[2] http://www.savills.co.uk/_news/article/72418/214102-0/2/2017/bpf-and-savills-launch-debut-report-for-build-to-rent-sector

5.	An investor in build to rent schemes	7	3%
6.	A developer of build to rent homes	29	13%
7.	A lender to build to rent schemes	2	1%
8.	A supplier of management and/or other services to build to rent homes	6	3%
9.	Other private landlord	2	1%
10.	Social landlord (either Registered Provider or local authority)	10	5%
11.	A developer of other housing tenures besides build to rent	8	4%
12.	A trade or other representative body	13	6%
13.	Local authority	68	31%
14.	Other	30	14%
Total		**221**	**100%**

8. Quantitative analysis tables of all the questions are provided in numerical order in ANNEX A. The percentage figures of the statistical data have been rounded to maintain consistency. The percentages given are either in relation to responses to a given question, or to the whole survey response (the distinction is made in each instance).

9. Questions 1 to 4 of the consultation have not been analysed separately since they contain the personal data asked about each respondent to the survey.

10. The final section of the report sets out the next steps, in response to the consultation.

Section 1: Build to rent principles and definition

11. The consultation document suggested that the growth of the build to rent sector is held back by various regulatory and market failures. This could be addressed through a planning policy intervention – which could be to define and promote build to rent in the National Planning Policy Framework and the supportive Planning Policy Guidance.

Q5. Do you consider there are market and regulatory failures impeding the rapid development of the build to rent market that merit national policy intervention?

12. The overwhelming majority of respondents (78%), from all sectors, and across all regions, considered that there are market failures impeding the development of build to rent, and that a national policy intervention is merited. A majority of local authorities (55%) supported the proposition but 35% of those who responded did not. Nearly all developers and investors supported the contention (97%). Specific issues raised by respondents were that local authorities already have the tools necessary to assess build to rent applications, and that the recent growth in build to rent developments across the country indicates there is no need to intervene.

Q6. Do you agree with the proposal to refer explicitly to build to rent in the National Planning Policy Framework?

13. The overwhelming majority of respondents (85%), from all sectors and regions, considered that the National Planning Policy Framework should be amended to refer to build to rent. There was no major objection to this proposal, and nearly all local authorities who responded to this question were in favour (88%). Where comments were raised in objection, these hinged around the suggestion that the tools necessary to take forward and assess build to rent applications are already available.

Q15. Does the definition of build to rent set out on page 20 of the consultation capture all the appropriate elements?

14. The definition in the consultation set out potential criteria which took into account tenure, typology, tenancy lengths, management and ownership, and a role for affordable private rent.

15. A small majority of respondents (51%) supported the proposed definition. However, a third (33%) did not, and 16% were undecided. The largest sources of doubt about aspects of the definition came from local authorities, and build to rent developers. Where specific definitional issues were raised in comments, a very wide range of views were expressed. These spanned tenancy lengths, minimum scheme size, typologies, management and ownership, the inclusion of affordable private rent, and whether covenants (on retaining the properties in the private rented sector) should be included. No clear-cut position emerged.

Section 2: Affordable private rent principles and definition

16. In the consultation the Government asked whether affordable private rent should be included and defined in National Planning Policy Guidance as a policy expectation, and whether it should qualify as delivering the affordable element of schemes, if limited to build to rent developments alone.

17. Affordable private rent is the name given to a specific type of affordable housing provided within a build to rent Scheme. The consultation proposed that affordable private rent would be made available for rent at a level at least 20 per cent below local market rent, with eligibility determined with regard to local incomes and local house prices, and would remain at a discount for future eligible households. The consultation also asked whether affordable private rent could help in delivering affordable housing, or would result in unintended consequences. Finally the consultation explored the parameters for the requirement of affordable private rent, and how its contribution can be maintained as affordable housing in perpetuity.

Q7. Do you think that Government should set a policy expectation on affordable private rent in the National Planning Policy Framework, or not?

18. A majority of respondents (66%) supported the definition offered in the consultation. However, just over a quarter (29%) did not. Very few respondents were undecided (4%). 82% of developers and investors supported the idea. Local authorities were more divided in their position, with 56% in support and 41% against. All social housing providers however were in support of the proposal. Where comments were made about the proposals these tended to come from local authorities wanting to have flexibility about how affordable housing needs are met, and concern that specifying affordable private rent could stifle innovation in meeting needs. Some also mentioned that the draft London Supplementary Planning Guidance[3] had already provided a definition.

Q16. Do you agree that the National Planning Policy Framework should put beyond doubt that affordable private rent qualifies as affordable housing in build to rent schemes?

19. A clear majority of respondents (80%) supported the proposal that the National Planning Policy Framework should put beyond doubt that affordable private rent qualifies as affordable housing in build to rent schemes. Very few respondents were undecided (5%), and there were relatively few objections (16%).

Q8. Will a policy expectation in the National Planning Policy Framework send a sufficiently strong signal to support affordable private rent as the main vehicle for affordable housing in build to rent?

20. A majority of respondents (63%) agreed that the National Planning Policy Framework could provide a sufficiently strong signal to support affordable private rent as the main vehicle for affordable housing in build to rent. Relatively few respondents disagreed (19%), and

[3] https://www.london.gov.uk/sites/default/files/draft_affordable_housing_and_viability_spg_2016.pdf

relatively few were undecided (18%). Both the build to rent investor and developer sector and local authorities generally supported the proposition. Most comments made on this question endorsed the idea of using the NPPF to convey the message effectively. A few comments reflected that some respondents did not agree and felt the NPPF should not be used this way, or that no amendment would be necessary since they disagreed with the basic concept of affordable private rent.

Q9. Do you consider that affordable private rent could play a useful role in the delivery of affordable housing in the area(s) where you live or operate?

21. Most respondents (74%) considered that affordable private rent could play a useful role in delivering affordable housing in their area. 20% of respondents disagreed with the proposition, with around half of those coming from the local authority sector. 6% of respondents did not know. Build to rent developers and investors strongly supported the proposition. In the comments made on this question respondents gave examples of affordable housing already delivered under "discounted market rent" policy (which is another name for affordable private rent), and noted that such a policy would continue to help. A small group of comments suggested that the change would not make a difference, or that further changes may be needed to make the policy more effective. A smaller number of comments suggested that affordable private rent should only be relevant in urban areas commanding high rents.

Q10. Do you consider that the efficiencies arising through on-site provision of affordable private rent can materially improve the viability of build to rent, compared to other affordable housing tenures?

22. A majority of respondents (57%) considered that on-site provision of affordable private rent would improve the viability of build to rent schemes, compared to other affordable housing tenures. Much of this support came from the built to rent development sector, but notably over half (54%) of local authorities also agreed. 19% disagreed with the proposition, and significantly 24% were "don't knows. This split was reflected in the comments offered, with over half of respondents suggesting that affordable private rent on site would improve viability. Of those who disagreed or were unsure, comments tended to suggest that further measures would be necessary to improve viability, or that further evidence and costings would be needed to understand how viability worked in any given area.

Q11. Do you consider that there could be unintended consequences of affordable private rent if it is accepted as a form of affordable housing?

23. Most respondents (76%) considered that affordable private rent could generate unintended consequences if it is accepted as a form of affordable housing. Only 15% disagreed, and 9% did not know. Concerns were raised by respondents from all sectors, but were particularly notable amongst local authorities, private individuals, and social landlords. Comments centred on the scope for negative consequences for the housing market, tenants, authorities and social housing provision in general. Some suggested that any consequences would be dependent on the eventually agreed definition of "affordable private rent. However, responses to this question should be seen alongside Q12 below.

Q12. If your answer to Q 11 was yes, would these consequences be mitigated by limiting affordable private rent only to build to rent schemes?

24. A majority of respondents to this question (53%) considered that limiting affordable private rent to build to rent schemes alone would mitigate any unintended consequences from securing affordable private rent (see Q 11). This was most pronounced amongst local authorities (70%). However, 28% of respondents disagreed that the consequences would

be mitigated, and 19% did not know. A handful of comments argued that affordable private rent should apply to schemes other than build to rent.

Q17. Do you agree with the proposed definition of affordable private rent set out on page 21 of the consultation document?

25. The definition in the consultation was - *"**Affordable Private Rent housing** is housing that is particularly suited for providing affordable housing as part of Build to Rent Schemes. It is made available for rent at a level at least 20 per cent below local market rent. Eligibility is determined with regard to local incomes and local house prices. It should include provisions to remain at a discount for future eligible households or for alternative affordable housing provision to be made if the discount is to be withdrawn".*

26. Respondents were almost equally split in their views about the proposed definition, with 46% supporting the definition, and 42% disagreeing. 63% of local authorities disagreed, whereas 57% of developers and investors agreed with the definition.

27. Of those who raised comments *disagreeing* with the definition, some wanted service charges to be included, quite a few did not agree with a 20% below market criteria being stipulated (some wanted it to be lower, some higher, and some wanted it to be locally negotiable). A number of respondents disagreed with the criteria for deciding who is eligible for affordable private rent homes (some disagreed with <u>all</u> the criteria). A handful disagreed with any local authority involvement, links to national policy, or the retention of units as affordable in perpetuity.

Q18. The Government intends to set the parameters of affordable private rent as: a minimum of 20 per cent of the homes to be discounted; the discount to be set at minimum of 20 per cent relative to the local market; an offer of a longer tenancy of three years or more; the discount to apply indefinitely (subject to a "claw-back" arrangement if affordable private rent homes are withdrawn). Taken as a whole, are these parameters: (i) reasonable; (ii) too onerous; (iii) insufficient? Which, if any of them, would you change and why?

28. In broad terms, there was an equal split between those respondents who thought the proposed affordable private rent parameters were reasonable (37%) and those who thought they were insufficient (37%). A sizeable percentage (23%) thought the parameters were too onerous.

29. Local authorities were split in their reaction, and considered the parameters were either reasonable (35%) or insufficient (53%). Build to rent developers and investors in general considered the parameters to be reasonable (38%) or onerous (52%). Comments made were very wide ranging, but tended to centre on how the affordable private rent criteria and proportion could best be calculated. Many of those who considered the parameter were too onerous suggested that the qualifying criteria should be left to local negotiation.

Q19. Should the parameters for affordable private rent appear on the face of the National Planning Policy Framework (NPPF) or within Planning Practice Guidance (PPG)?

30. A majority of respondents wanted the parameters for affordable private rent to be reflected in either the National Planning Policy Framework, Planning Practice Guidance, or both - 38% favoured the NPPF, 26% the PPG, and 17% both. Local authorities split roughly equally between the two. Build to rent developers and investors generally favoured the parameters being expressed in the NPPF or both that and the PPG. Only 6% of

respondents did not want the parameters of affordable private rent reflected in guidance. 14% were undecided.

31. From the comments made by respondents it is clear that the benefits of clear Government guidance are valued as a way to prevent difficulties arising over the definition of affordable private rent. Almost all the comments made support some form of guidance being used to clarify the policy.

Section 3: Implementation of the policy proposals

32. The consultation also explored various practical ways in which build to rent policy could be implemented. These cover areas such as the specification of minimum tenancy lengths, eligibility criteria for the affordable private rent homes, how the affordable private rent homes can be retained as such in perpetuity, and model clauses for S106 agreements. Finally, views were also sought on whether the policy should apply in London.

Q13. Do you think it is reasonable for Planning Authorities to specify minimum tenancy lengths in build to rent schemes? Please add your reasons, and give examples of such agreements where appropriate.

33. A majority of respondents (60%) were in favour of planning authorities specifying minimum tenancy lengths in build to rent schemes. 31% of respondents disagreed, and 9% did not know. 81% of local authorities tended to support this proposal and accounted for around half of the supportive comments. Developers and investors in build to rent were more divided in their views, with 33% in support, and 53% against the proposal. Social landlords were generally supportive (66%). Overall, 9% of respondents were undecided. Comments made tended to reflect the statistical breakdown of the responses.

Q14. Do you agree that build to rent tenancies should be for at least three years (with a one month break option for the tenant after the first six months), for all customers in the development who want one?

34. This question should be read alongside Q13, which relates to it. The results mirror those to Q13, in that a majority of respondents (64%) were in favour of minimum build to rent tenancy of at least 3 years being offered to all tenants. 28% of respondents disagreed, and 8% did not know. Local authorities overwhelmingly supported this proposal (92%) with just 6% against the idea. Developers and investors in build to rent were more divided in their views, with 21% in support, and 64% against the proposal. Social landlords were generally supportive of the proposal (55%). In the comments made, most reflected this statistical breakdown.

Q20. The Government is minded to leave determination of eligibility and nomination criteria for affordable private rent to negotiation between the developer and the local authority. A) Do you support this position? B) Will it affect take up of the policy?

35. A majority of respondents (64%) were in favour of the proposal to leave decisions over affordable private rent eligibility and nomination criteria to a negotiation between authorities and developers and investors. 29% of respondents disagreed, and 7% had no view. Local authorities generally supported this proposal (74%), as did developers and investors in build to rent homes (69%). Social landlords were in favour of this approach too (77%, with 22% against).

36. When asked whether this approach would affect the take up of the policy, relatively few people responded to the question (just 28). Of this low base, the majority of respondents (71%) believed that it would affect take up (both positively and negatively, largely depending on sector), and 29% believed that it would not. Whilst most respondents supported leaving the process to local negotiation, many made useful comments about the kinds of criteria, parameters, and sources of information that could be used in making this

decision. Many respondents considered that unless this information is used effectively, the take up of the affordable private rent homes would be negatively affected.

Q21. The Government considers there is no need for a fixed minimum covenant period, so long as appropriate claw-back arrangements are provided for. Do you agree?

37. The intention behind a covenant would be to ensure that all the build to rent homes in a scheme would be required to remain in the private rented sector for a period of time. The Government's proposal is that the value of the affordable private rent element of any scheme is maintained in perpetuity (as a benefit to the community) by "clawing back" its value if it is sold, and that this would negate the need for a scheme wide covenant.

38. Of those who responded to the question, a majority (51%) were in favour of the proposal to use "claw-back" arrangements instead of a fixed covenant period. However, 39% were not in favour. Developers and investors in build to rent clearly support the proposition (67%) with just 14% disagreeing. This is different from the local authority position, where 59% disagreed and 39% agreed. Comments made reflected a concern about exactly how the claw-back arrangement would work, and how flexible or constraining it is (ie, the more flexible it is, the more need there is for a covenant).

Q22. Do you think Government should (a) prescribe the basis for calculating the amount of claw-back, (b) set a possible basis for calculating the amount of claw-back in guidance, or (c) leave the amount of claw-back to be agreed between the local authority and the applicant?

39. The response to this question was evenly split. 30% wanted the clawback basis prescribed, 32% wanted the basis to be set out as guidance but not prescribed, and 27% wanted any clawback agreement to be left to negotiating parties. Developers and investors in build to rent generally had a clearer preference for options A and C (full prescription, or left to negotiations). Local authorities in general preferred option B (guidance), followed by A and then C in that order. Social landlords were also split across the options, as were most other sector groups.

Q24. Would it be helpful for Government to produce model clauses (which would not be mandatory) that could be used in Section 106 agreements to give effect to affordable private rent?

40. A very clear majority of respondents (90%) supported the proposal for the Government to produce (non-mandatory) model clauses to enable the implementation of affordable private rent. Very few respondents were undecided (5%), and there were relatively few objections (5%). There was strong support for this proposal from all sectors, and this was reflected in the comments offered which almost universally recorded that model clauses would be helpful. Of the few who disagreed, comments generally focused on how model clauses can be inflexible.

Q25. Is a transitional period of six months appropriate for the introduction of the policies proposed in this consultation?

41. A majority of respondents (55%) supported the proposal for a six month transition period for the policy proposals. 30% of respondents disagreed, however, and 15% had no views. Of those who disagreed, most felt that a longer period of transition would be needed. Developers and investors were strongly in favour of a transitional period, whereas the local authority sector was divided in its views.

Q26. Does the summary Equalities Statement in Annex A represent a fair assessment of the equalities impacts of the policy proposals in this consultation? Please provide any

further evidence on this issue, including how any negative impacts might be minimised and positive impacts enhanced.

42. A majority of respondents (54%) considered that the summary equalities assessment provided with the consultation represented a fair assessment of the potential impact of the proposals. 32% of respondents had no views on the question, and just 14% of respondents considered that the assessment was not fair. Most of the objections to the assessment came from local authorities (30%) and social landlords (66%). Where respondents considered the Equalities Impact Assessment inadequate, their comments tended to focus on the need for more details to be provided on the impact on affordable housing, on vulnerable people, and on the potential area wide impact of new build to rent developments.

Q23. Should the Government's build to rent and affordable private rent policy be identical across the whole of England or does it need to be set differently between London and the rest of England? If it should be set differently, please use the comments box to tell us how and why the policy should vary in London from the rest of England.

43. It should be noted that National Planning Policy does not specify policy on a sub-national basis.

44. Around half of the responses to this question came from people or organisations principally based in London. A majority of respondents (53%) considered that the proposal for the Government's build to rent and affordable private rent policy should be set differently between London and the rest of England. 25% of respondents considered the policy should be identical across England. 21% of respondents had no view. 56% of local authorities considered that the policy should be differentiated for London. Build to rent developers and investors were split in their views, with 44% supporting a different approach for London, and 37% a uniform national approach. Those who supported the idea of London being treated differently tended to refer to London's housing challenges and living and rental costs as being distinctly different, and that draft Supplementary Planning Guidance was already available to steer policy decisions.

Section 4: Next Steps

45. The consultation responses indicated there was a general consensus view in support of many of the key proposals which were floated in the consultation.

46. In particular, the consultation indicated a majority view that there is a market failure in the build to rent sector which could merit policy intervention. There was also clear support for a national approach on build to rent to be set out and consolidated in planning policy.

47. The consultation responses also indicated clear support for the introduction of an "affordable private rent" concept, and for this to be part of an affordable housing definition specifically tied to build to rent schemes.

48. Responses also indicated, however, a level of concern that there could be unintended consequences if affordable private rent is accepted as a form of affordable housing for non-build to rent schemes.

49. Other areas where overall support was evident included the offering of minimum tenancy lengths for build to rent schemes, and a strong majority in favour of the establishment of model clauses to help with build to rent application processing.

50. Responses also indicated there were mixed views on the policy being differentiated between London and the rest of England, with no widespread support.

51. There was no consensus on the definition of build to rent and affordable private rent. No clear cut position emerged for either.

52. Similarly, there were varied results in respect of the parameters for operating affordable private rent (such as eligibility criteria, discount levels, and about how clawback could work).

53. On equalities, a narrow majority of respondents considered that the equalities assessment represented a fair assessment of the potential impact of the policy proposals, with dissenters focussing on the need to undertake further analysis of the impact on vulnerable groups.

54. The Government will now consider how to take forward the policy area in the light of these results. Where any points of uncertainty have emerged, the Government plans to probe the issues over the coming months, including updating our equalities analysis, to better understand concerns and to resolve them. The aim will be to use the results of this process to input into future proposals for revising the National Planning Policy Framework (and associated Guidance).